Loss Functions as Noise Models

Signal Detection and Estimation Theory, Project 3

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1 Introduction

1.1 The problem

When we fit a model to data, we pick a loss function and choose the parameters that make the loss as small as possible. The two most common losses are the mean squared error (MSE) and the mean absolute error (MAE). The survey by Terven et al. [2] gives rules for choosing between them, for example that MAE is better when the data has outliers. But it doesn't explain these rules using estimation theory.

Minimizing a loss is the same as maximising likelihood. So every loss assumes some distribution for the noise. We later show in Section 2 we show that MSE assumes Gaussian noise and MAE assumes Laplace noise.

In this project we observe what happens when this assumption is wrong. For example, if we use MSE but the noise is actually Laplace, does the estimate still be correct on average? what about the variance? Intuitively we'd expect variance to be larger than that of the best possible estimator.

We measure this loss in accuracy using the Cramér–Rao lower bound (CRLB), which provides a lower bound for the variance of any unbiased estimator [1]. For our study, we find the ratio of the CRLB for the true noise, to the variance of our estimator,

$$\text{efficiency ratio} = \frac{\text{Var}(\hat{A})}{\text{CRLB}}.$$

A ratio of 1 simply means the estimator is as good as possible. A ratio of 2 means its variance is twice the CRLB, hence it needs twice as many samples to be as accurate as the best estimator.

1.2 The setup

We start with the simplest case, which is estimating a DC level in noise, as in Kay. We observe N samples

$$x[n] = A + w[n], \qquad n = 0, 1, \ldots, N-1, \tag{1.1}$$

where $A \in \mathbb{R}$ is the unknown constant and $w[n]$ is the noise. The noise samples $w[n]$ are i.i.d. with zero mean and an assumed density $p_w(w)$ that is symmetric about zero, so $p_w(-w) = p_w(w)$. We want to estimate the parameter A from the samples.

Stacking the samples and the noise into vectors,

$$\mathbf{x} = [x[0], x[1], \ldots, x[N-1]]^\top, \qquad \mathbf{w} = [w[0], w[1], \ldots, w[N-1]]^\top,$$

the model becomes

$$\mathbf{x} = A\mathbf{1} + \mathbf{w},$$

where $\mathbf{1} = [1, 1, \ldots, 1]^\top$ is the column vector of N ones. This is a special case of linear regression, $\mathbf{y} = \mathbf{X}\boldsymbol{\theta} + \mathbf{w}$, with $\mathbf{X} = \mathbf{1}$ and $\boldsymbol{\theta} = A$. Here $\mathbf{X}^\top\mathbf{X} = \mathbf{1}^\top\mathbf{1} = N$, so the $1/N$ in our results becomes $(\mathbf{X}^\top\mathbf{X})^{-1}$ for the general regression model, which we study later.

1.3 Outline

Section 2 shows that squared error and absolute error are the maximum likelihood losses for Gaussian and Laplace noise. Sections 3 and 4 compute the CRLB for these two noises and the variance of the mean and the median under each, and Section 5 checks the results by simulation, including skewed noise. The next two sections extend this to two families of noise. Section 6 makes the tails

heavier with the Student-t family, and Section 7 makes the noise skewed with the gamma family. Section 8 then introduces the misspecified Cramér–Rao bound, which is the tight bound for an estimator built on a wrong noise model and explains all the earlier results in one formula. Section 9 looks at Pareto noise, where the regularity conditions behind these bounds fail, and Section 10 applies the same ideas to real insurance claim data.

2 Losses as noise assumptions

In this section we derive the MSE and MAE losses. In both cases we write the likelihood of the samples for an assumed noise distribution and find the A that maximises it.

From (1.1), $w[n] = x[n] - A$, so each sample $x[n]$ has density $p_w(x[n] - A)$. The samples are i.i.d., so the likelihood is the product of these densities,

$$p(\mathbf{x}; A) = \prod_{n=0}^{N-1} p_w(x[n] - A). \tag{2.1}$$

The maximum likelihood estimator (MLE) is the value of A that makes this as large as possible for the observed samples. It is easier to work with the log of the likelihood. Since the log is an increasing function, the maximum is at the same A, so

$$\hat{A} = \arg\max_A p(\mathbf{x}; A) = \arg\max_A \ln p(\mathbf{x}; A) = \arg\max_A \sum_{n=0}^{N-1} \ln p_w(x[n] - A).$$

2.1 Gaussian noise gives squared error

Let the noise be Gaussian with zero mean and variance σ^2,

$$w[n] \overset{\text{i.i.d.}}{\sim} \mathcal{N}(0, \sigma^2), \qquad p_w(w) = \frac{1}{\sqrt{2\pi\sigma^2}} \exp\left(-\frac{w^2}{2\sigma^2}\right).$$

Then $x[n] \sim \mathcal{N}(A, \sigma^2)$, and from (2.1) the likelihood is

$$\begin{aligned} p(\mathbf{x}; A) &= \prod_{n=0}^{N-1} \frac{1}{\sqrt{2\pi\sigma^2}} \exp\left(-\frac{(x[n] - A)^2}{2\sigma^2}\right) \\ &= \frac{1}{(2\pi\sigma^2)^{N/2}} \exp\left(-\frac{1}{2\sigma^2} \sum_{n=0}^{N-1} (x[n] - A)^2\right). \end{aligned}$$

Taking the log gives

$$\ln p(\mathbf{x}; A) = -\frac{N}{2} \ln(2\pi\sigma^2) - \frac{1}{2\sigma^2} \sum_{n=0}^{N-1} (x[n] - A)^2.$$

The first term does not depend on A. The second term has a minus sign, so maximising $\ln p(\mathbf{x}; A)$ is the same as minimising

$$J(A) = \sum_{n=0}^{N-1} (x[n] - A)^2.$$

This is the squared error loss. So minimising MSE is the same as finding the MLE under Gaussian noise.

Setting the derivative of J to zero,

$$\frac{dJ}{dA} = -2\sum_{n=0}^{N-1}(x[n] - A) = 0$$
$$\sum_{n=0}^{N-1} x[n] - NA = 0.$$

We thus obtain

$$\boxed{\hat{A} = \frac{1}{N}\sum_{n=0}^{N-1} x[n] = \bar{x}}$$

So under Gaussian noise, the MLE of A is the sample mean.

2.2 Laplace noise gives absolute error

Now let the noise be Laplace with zero mean and a scale parameter $b > 0$,

$$w[n] \overset{\text{i.i.d.}}{\sim} \text{Laplace}(0, b), \qquad p_w(w) = \frac{1}{2b}\exp\left(-\frac{|w|}{b}\right).$$

This density is also symmetric about zero, but its tails are heavier because the Gaussian density falls off like e^{-w^2}, while the Laplace density only falls off like $e^{-|w|}$. So large noise values are more likely with Laplace noise, thus the data might tend to have a few samples far away from the rest.

We follow the same steps as in the Gaussian case. From (2.1) the likelihood is

$$p(\mathbf{x}; A) = \prod_{n=0}^{N-1} \frac{1}{2b}\exp\left(-\frac{|x[n] - A|}{b}\right)$$
$$= \frac{1}{(2b)^N}\exp\left(-\frac{1}{b}\sum_{n=0}^{N-1}|x[n] - A|\right),$$

and its log is

$$\ln p(\mathbf{x}; A) = -N\ln(2b) - \frac{1}{b}\sum_{n=0}^{N-1}|x[n] - A|.$$

Again the first term does not depend on A, so maximising $\ln p(\mathbf{x}; A)$ is the same as minimising

$$J(A) = \sum_{n=0}^{N-1}|x[n] - A|.$$

This is the absolute error loss. So minimising MAE is the same as finding the MLE under Laplace noise.

Here we cannot just set the derivative to zero, because $|x[n] - A|$ has a sharp edge at $A = x[n]$ where its non-differentiable. Everywhere else the derivative is

$$\frac{dJ}{dA} = -\sum_{n=0}^{N-1}\text{sign}(x[n] - A),$$

Hence, each sample above A adds -1 and each sample below A adds $+1$. So the derivative is the number of samples below A minus the number of samples above A.

If more samples lie above A than below it, the derivative is negative and J decreases as A increases. Once more samples lie below A, the derivative is positive and J increases. As A moves from left to right it passes the samples one by one, so the derivative goes up in steps, from $-N$ to $+N$. So J is smallest where the derivative changes sign, which is where half the samples lie on each side of A. For odd N the derivative never equals zero. It jumps from -1 to $+1$ at the middle sample, so the minimum is at this corner of J, which is the sample median,

$$\boxed{\hat{A} = \text{median}\big(x[0], x[1], \ldots, x[N-1]\big)}$$

For example, with the samples 1, 2 and 10, the derivative is $-3, -1, +1, +3$ as A passes each sample, so J is smallest at $A = 2$. Thus, under Laplace noise, the MLE of A is the sample median.

To summarise, MSE assumes Gaussian noise and gives the mean, and MAE assumes Laplace noise and gives the median!

3 The Cramér–Rao lower bound

The CRLB gives a lower bound on the variance of any unbiased estimator of A. From Kay [1, Theorem 3.1], if the likelihood satisfies the regularity condition

$$E\left[\frac{\partial \ln p(\mathbf{x}; A)}{\partial A}\right] = 0 \quad \text{for all } A,$$

then every unbiased estimator $\hat{A}$ satisfies

$$\text{Var}(\hat{A}) \geq \frac{1}{I(A)}, \qquad I(A) = E\left[\left(\frac{\partial \ln p(\mathbf{x}; A)}{\partial A}\right)^2\right], \tag{3.1}$$

where $I(A)$ is the Fisher information. When $\ln p(\mathbf{x}; A)$ is twice differentiable, the Fisher information can also be written as

$$I(A) = -E\left[\frac{\partial^2 \ln p(\mathbf{x}; A)}{\partial A^2}\right]. \tag{3.2}$$

From (2.1), the log-likelihood is a sum over the samples, so its derivative is also a sum,

$$\frac{\partial \ln p(\mathbf{x}; A)}{\partial A} = \sum_{n=0}^{N-1} s(x[n]; A), \qquad s(x; A) = \frac{\partial}{\partial A} \ln p_w(x - A).$$

Each term $s(x[n]; A)$ depends on only one sample, so the terms are independent, and each has zero mean by the regularity condition. The variance of a sum of independent zero-mean terms is the sum of their variances, so

$$I(A) = E\left[\Big(\sum_{n=0}^{N-1} s(x[n]; A)\Big)^2\right] = \sum_{n=0}^{N-1} E\big[s(x[n]; A)^2\big] = N\, i(A), \qquad i(A) = E\big[s(x; A)^2\big]. \tag{3.3}$$

So we only need $i(A)$, the Fisher information of a single sample.

3.1 CRLB for Gaussian noise

For Gaussian noise,

$$\ln p_w(x - A) = -\frac{1}{2}\ln(2\pi\sigma^2) - \frac{(x-A)^2}{2\sigma^2}.$$

Differentiating with respect to A,

$$s(x; A) = \frac{x - A}{\sigma^2} = \frac{w}{\sigma^2}.$$

So the information in one sample is

$$i(A) = \frac{E[w^2]}{\sigma^4} = \frac{\sigma^2}{\sigma^4} = \frac{1}{\sigma^2}.$$

The second form also (3.2) gives the same answer, since $\partial^2 \ln p_w(x - A)/\partial A^2 = -1/\sigma^2$ for every x. Thus using the i.i.d additivity property of Fisher information, $I(A) = N/\sigma^2$, and we obtain

$$\boxed{\text{CRLB}_{\text{Gauss}} = \frac{\sigma^2}{N}}$$

3.2 CRLB for Laplace noise

For Laplace noise,

$$\ln p_w(x - A) = -\ln(2b) - \frac{|x - A|}{b}.$$

For $x \neq A$, the derivative with respect to A is

$$s(x; A) = \frac{\text{sign}(x - A)}{b} = \frac{\text{sign}(w)}{b}.$$

The sign is either $+1$ or -1, so $s(x; A)^2 = 1/b^2$ for every sample. Then

$$i(A) = E\left[\frac{1}{b^2}\right] = \frac{1}{b^2},$$

so $I(A) = N/b^2$, and we thus obtain

$$\boxed{\text{CRLB}_{\text{Laplace}} = \frac{b^2}{N}}$$

The regularity condition holds, because the Laplace density is symmetric and so

$$E[s(x; A)] = \frac{1}{b}\big(P(w > 0) - P(w < 0)\big) = \frac{1}{b}\left(\frac{1}{2} - \frac{1}{2}\right) = 0.$$

The derivative does not exist at $x = A$, but this single point has probability zero, so it does not change any of the expectations.

Note that we could only use the first form (3.1) of Fisher information here. The second derivative of $|x - A|$ is zero everywhere except at $x = A$, so the second form (3.2) would give $i(A) = 0$ and an infinite bound, which is wrong! As mentioned above, the second form needs $\ln p_w$ to be twice differentiable, and it's not the case here with the Laplacian noise!

Kay [1] also states that an unbiased estimator reaches the CRLB only if we can write an expression of the type:

$$\frac{\partial \ln p(\mathbf{x}; A)}{\partial A} = I(A)\big(g(\mathbf{x}) - A\big)$$

for some function g. Under Gaussian noise this holds with $g(\mathbf{x}) = \bar{x}$. Under Laplace noise the derivative is $\frac{1}{b}\sum_n \operatorname{sign}(x[n] - A)$, which is a step function of A and cannot be written in this form. So for a fixed N, no unbiased estimator reaches the Laplace bound exactly. In Section 4.2 we see that the median reaches it as N grows!

4 Estimators under the wrong noise

We now find the variance of the sample mean and the sample median under both noise types, and compare each with the CRLB from Section 3.

4.1 The sample mean

The sample mean is unbiased for any noise with zero mean,

$$E[\bar{x}] = \frac{1}{N}\sum_{n=0}^{N-1} E\big[A + w[n]\big] = A.$$

The samples are independent, so

$$\operatorname{Var}(\bar{x}) = \frac{1}{N^2}\sum_{n=0}^{N-1} \operatorname{Var}(w[n]) = \frac{\operatorname{Var}(w)}{N}. \tag{4.1}$$

This only uses the variance of the noise so far, without considering the shape of a distribution.

4.1.1 Under Gaussian Noise

Under Gaussian noise, $\operatorname{Var}(w) = \sigma^2$, so $\operatorname{Var}(\bar{x}) = \sigma^2/N$. This equals the CRLB, so the sample mean is efficient under Gaussian noise.

4.1.2 Under Laplacian Noise

Under Laplace noise, the noise has zero mean, so $\operatorname{Var}(w) = E[w^2] - (E[w])^2 = E[w^2]$. Writing out the expectation,

$$E[w^2] = \int_{-\infty}^{\infty} w^2 \,\frac{1}{2b} e^{-|w|/b}\, dw.$$

$$E[w^2] = 2 \cdot \frac{1}{2b}\int_0^{\infty} w^2 e^{-w/b}\, dw = \frac{1}{b}\int_0^{\infty} w^2 e^{-w/b}\, dw.$$

We find the integral using integration by parts twice. Let

$$I_k = \int_0^{\infty} w^k e^{-w/b}\, dw.$$

Using integration by parts:

$$\int_0^{\infty} u\, dv = \Big[uv\Big]_0^{\infty} - \int_0^{\infty} v\, du.$$

For I_2 we take $u = w^2$ and $dv = e^{-w/b}\,dw$, so $du = 2w\,dw$ and $v = -b\,e^{-w/b}$. Then

$$\begin{aligned} I_2 &= \Big[-b\,w^2 e^{-w/b}\Big]_0^\infty + 2b\int_0^\infty w\,e^{-w/b}\,dw \\ &= 0 + 2b\,I_1. \end{aligned}$$

The boundary term is zero, because at $w = 0$ the factor w^2 is zero, and as $w \to \infty$ the exponential $e^{-w/b}$ goes to zero faster than w^2 grows. In the same way, for I_1 we take $u = w$ and $dv = e^{-w/b}\,dw$,

$$\begin{aligned} I_1 &= \Big[-b\,w\,e^{-w/b}\Big]_0^\infty + b\int_0^\infty e^{-w/b}\,dw \\ &= 0 + b\Big[-b\,e^{-w/b}\Big]_0^\infty \\ &= b \cdot b = b^2. \end{aligned}$$

Putting these together, $I_2 = 2b \cdot b^2 = 2b^3$, and so

$$\begin{aligned} \mathrm{Var}(w) = E[w^2] &= \frac{1}{b}\,I_2 \\ &= 2b^2. \end{aligned}$$

Now from (4.1),

$$\boxed{\mathrm{Var}(\bar{x})_{\text{Laplace}} = \frac{2b^2}{N} = 2 \times \mathrm{CRLB}_{\text{Laplace}}}$$

This holds for every N, not only for large N! The mean is still correct on average, but its variance is twice the CRLB, so it needs twice as many samples to be as accurate as the best estimator! The intuitive reason is that every sample gets the same weight $1/N$, including the few large samples that Laplace noise produces, and these pull the mean away from A.

4.2 The sample median

The noise is symmetric about zero, so the samples are symmetric about A, and so is the distribution of the median. So the median is also unbiased. Its exact variance has no simple formula, but for large N the sample median is approximately Gaussian with variance [3, Ch. 21]

$$\mathrm{Var}(\text{median}) \approx \frac{1}{4N\,p_w(0)^2}. \tag{4.2}$$

The median only depends on which samples lie above and below A, so its accuracy depends on how many samples fall close to A. This is set by the height of the noise density at the centre, $p_w(0)$. A taller peak puts more samples near A and gives a more accurate median.

For Laplace noise, $p_w(0) = 1/(2b)$, so from (4.2)

$$\boxed{\mathrm{Var}(\text{median})_{\text{Laplace}} \approx \frac{1}{4N \cdot \frac{1}{4b^2}} = \frac{b^2}{N} = \mathrm{CRLB}_{\text{Laplace}}}$$

So for large N the median reaches the CRLB under Laplace noise. It is asymptotically efficient.

For Gaussian noise, $p_w(0) = 1/\sqrt{2\pi\sigma^2}$, so

$$\boxed{\mathrm{Var}(\text{median})_{\text{Gauss}} \approx \frac{1}{4N \cdot \frac{1}{2\pi\sigma^2}} = \frac{\pi}{2} \cdot \frac{\sigma^2}{N} \approx 1.57 \times \mathrm{CRLB}_{\text{Gauss}}}$$

Under Gaussian noise, the distance of each sample from A carries information. The median throws this away, since it only looks at the order of the samples, and this costs about 57% more variance than the mean.

4.3 Predicted efficiency ratios

Dividing each variance by the CRLB for the true noise gives the efficiency ratios in Table 1.

Estimator (loss)	Gaussian noise	Laplace noise
Sample mean (MSE)	1	2
Sample median (MAE)	$\pi/2 \approx 1.57$	1

Table 1: Predicted efficiency ratio $\mathrm{Var}(\hat{A})/\mathrm{CRLB}$ for each estimator and each true noise.

Each estimator is efficient under the noise it assumes and loses efficiency under the other one. The values for the mean are exact for every N, while the values for the median hold only for large N. We check these values by Monte Carlo simulation in Section 5.

5 Simulation results

In this section we check the results of Section 4 by simulation, and then look at skewed noise, where the theory so far does not directly apply. All the code is in the `sim/` folder of the project, with one script per simulation.

Every simulation follows the same Monte Carlo method. We fix the true value $A = 1$ and repeat the experiment $R = 5000$ times. In each trial we draw N fresh noise samples, form $x[n] = A + w[n]$, and compute both the sample mean and the sample median. This gives 5000 values of each estimator. Their average estimates $E[\hat{A}]$, and their sample variance estimates $\mathrm{Var}(\hat{A})$. Dividing the variance by the CRLB gives the measured efficiency ratio.

Since we only use 5000 trials, the measured variance is itself a little noisy. For estimates that are roughly Gaussian, the relative error of a sample variance computed from R values is about $\sqrt{2/R}$, which is 2% here. So a measured ratio of 0.97 is in agreement with a predicted ratio of 1.

5.1 Gaussian and Laplace noise

We first check the predicted ratios of Table 1. We use $\sigma = 1$ for the Gaussian noise and $b = 1$ for the Laplace noise. The ratios do not depend on these values, since both the variances and the CRLBs scale in the same way. The code is in `sim/sim_A_mean_vs_median.py`.

Table 2 shows the measured ratios at $N = 100$ next to the predicted ones. All four agree with the theory. The mean has ratio 1 under Gaussian noise and 2 under Laplace noise, and the median has ratio close to $\pi/2$ under Gaussian noise.

	Gaussian noise		Laplace noise	
Estimator	Predicted	Measured	Predicted	Measured
Sample mean (MSE)	1	0.968	2	2.007
Sample median (MAE)	1.571	1.512	1	1.169

Table 2: Predicted and measured efficiency ratio $\mathrm{Var}(\hat{A})/\mathrm{CRLB}$ at $N = 100$, from 5000 trials.

The only value that is clearly away from its prediction is the median under Laplace noise, 1.169 instead of 1. This is expected, because (4.2) only holds for large N. To see this, we repeat the experiment for N from 10 to 1000. Figure 5.1 shows the result.

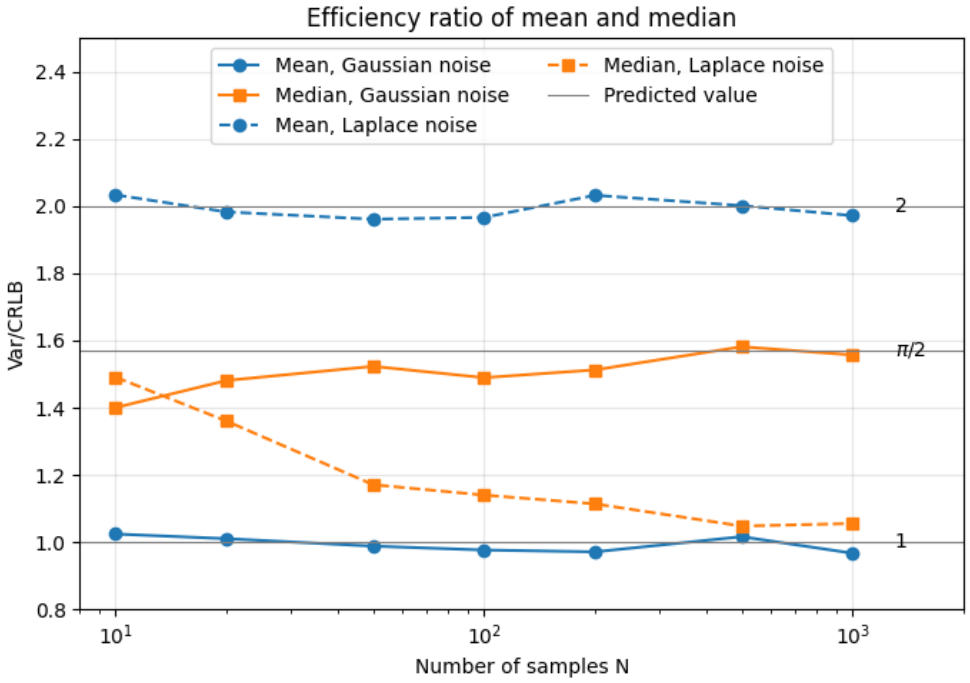


Figure 5.1: Measured efficiency ratio against the number of samples N. The grey lines are the predicted values 1, $\pi/2$ and 2.

We can observe two different behaviours in Figure 5.1. The two curves for the mean are flat, at 1 for Gaussian noise and 2 for Laplace noise, already from $N = 10$. This matches Section 4, where we found $\mathrm{Var}(\bar{x}) = \mathrm{Var}(w)/N$ exactly for every N. The two curves for the median change with N. Under Laplace noise the ratio starts at about 1.5 for $N = 10$ and slowly comes down towards 1, reaching 1.05 at $N = 1000$. Under Gaussian noise it starts at 1.4 and rises towards $\pi/2$. So the median only becomes efficient under Laplace noise once N is large, while the mean is twice as bad as the best estimator at every N.

5.2 Asymmetric noise

So far the noise has been symmetric about zero. In that case the mean and the median both aim at the same value A, and they only differ in their variance. Real noise is often skewed, with a long tail on one side. For skewed noise the mean and the median of the noise are no longer equal, and the two estimators aim at different values. In this section we show this, and we predict the value each estimator reaches before running the simulation.

What each estimator converges to. The sample mean converges to the mean of the distribution of $x[n]$, which is $A + E[w] = A$, since the noise still has zero mean. The sample median balances the samples, with half on each side, so for large N it converges to the value that splits the

distribution of $x[n]$ in half. This is the median of $x[n]$, which is $A + \text{median}(w)$. So

$$\bar{x} \to A, \qquad \text{median}(\mathbf{x}) \to A + \text{median}(w).$$

This is the same idea as in Section 2. Squared error leads to the mean and absolute error leads to the median, and when the noise is skewed these are two different numbers.

Exponential noise. Let $E \sim \text{Exp}(1)$, which has mean 1, and set $w = E - 1$ so that w has zero mean. The median m of E satisfies

$$P(E \le m) = 1 - e^{-m} = \frac{1}{2},$$

which gives $m = \ln 2$. So $\text{median}(w) = \ln 2 - 1 \approx -0.307$, and we predict

$$\bar{x} \to 1, \qquad \text{median}(\mathbf{x}) \to 1 + \ln 2 - 1 = \ln 2 \approx 0.693.$$

Lognormal noise. Let $Z \sim \mathcal{N}(0, 1)$. Then e^Z is lognormal with mean $E[e^Z] = e^{1/2}$, and we set $w = e^Z - e^{1/2}$ so that w has zero mean. Since e^z is an increasing function, the median of e^Z is e raised to the median of Z, which is $e^0 = 1$. So $\text{median}(w) = 1 - e^{1/2} \approx -0.649$, and we predict

$$\bar{x} \to 1, \qquad \text{median}(\mathbf{x}) \to 2 - e^{1/2} \approx 0.351.$$

The lognormal noise has a much longer right tail than the exponential noise, so it produces a few very large samples.

Figure 5.2 shows both noise densities next to the standard Gaussian. Both have mean zero, but most of their probability lies to the left of zero, and this is balanced by a long tail on the right. The shaded area, to the left of the median, holds exactly half of the probability. The gap between the mean and the median is what the two estimators will see.

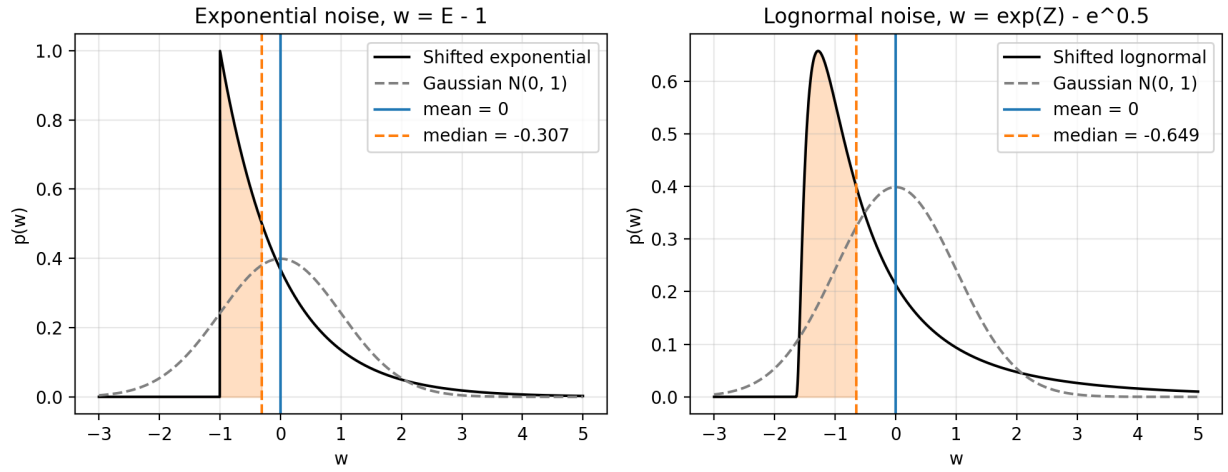


Figure 5.2: Density of the shifted exponential noise (left) and the shifted lognormal noise (right), with the standard Gaussian for comparison. The blue line is the mean and the orange dashed line is the median. The shaded area is half of the probability.

Results. The code is in `sim/sim_B_asymmetric_noise.py`. Figure 5.3 shows the histograms of the 5000 estimates at $N = 100$, and Table 3 gives their average and standard deviation.

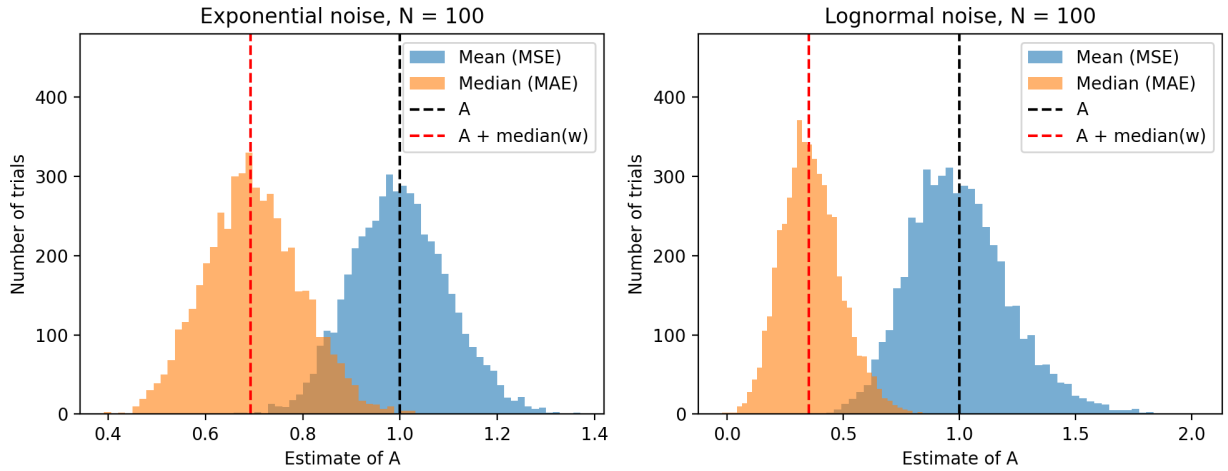


Figure 5.3: Histograms of the mean and median estimates over 5000 trials, with $N = 100$ and $A = 1$. The black line is A and the red line is $A + \text{median}(w)$.

Noise	Estimator	Predicted limit	Average	Predicted std	Measured std
Exponential	Mean	1	0.999	0.100	0.099
	Median	0.693	0.698	0.100	0.098
Lognormal	Mean	1	1.001	0.216	0.215
	Median	0.351	0.363	0.125	0.127

Table 3: Average and standard deviation of the estimates at $N = 100$, from 5000 trials.

Each estimator lands where we predicted. The mean is centred on $A = 1$ for both noises, and the median is centred on $A + \text{median}(w)$, which is 0.693 for exponential noise and 0.351 for lognormal noise. The two histograms barely overlap, so the two losses give clearly different answers from the same data.

The predicted standard deviations in Table 3 come from the same formulas as before. For the mean we use (4.1), with $\text{Var}(w) = 1$ for exponential noise and $\text{Var}(w) = (e-1)e \approx 4.67$ for lognormal noise. For the median we use (4.2), where for skewed noise $p_w(0)$ is replaced by the density of w at its median [3, Ch. 21]. This density is $1/2$ for exponential noise and $1/\sqrt{2\pi}$ for lognormal noise. Under exponential noise both estimators have the same spread. Under lognormal noise the mean has almost twice the spread of the median, because the few very large samples from the long tail pull the mean around, just as with Laplace noise.

Figure 5.4 shows the average estimate as N grows. The mean is centred on A at every N, since $E[\bar{x}] = A$ exactly. The median starts a little above its limit for small N and settles on $A + \text{median}(w)$ as N grows. So the difference between the two is not a small-sample effect. It stays no matter how much data we collect.

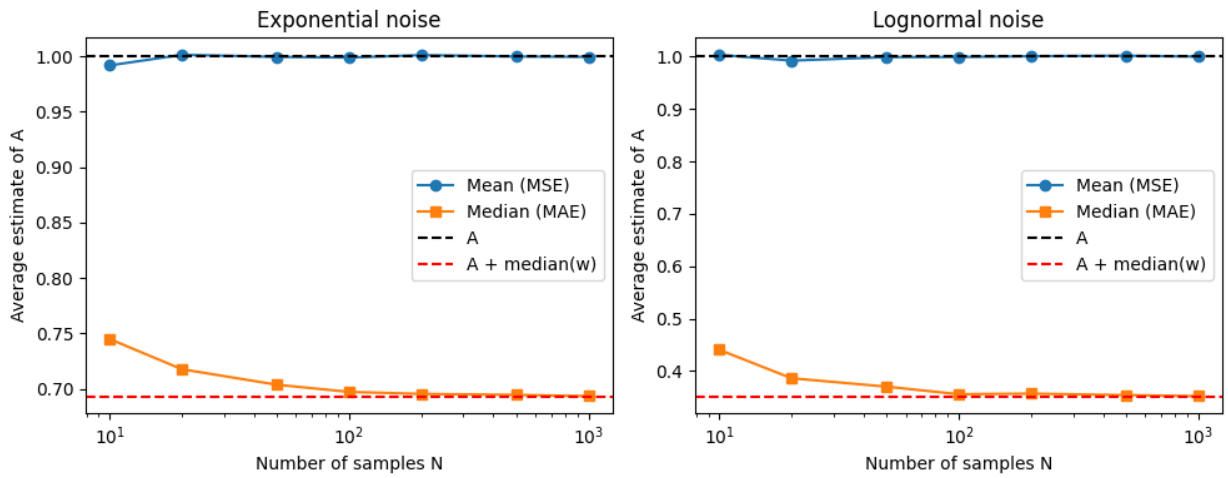


Figure 5.4: Average of the 5000 estimates against N, for exponential noise (left) and lognormal noise (right).

Note that we do not compute efficiency ratios here. The two estimators converge to different values, so comparing their variances with a single CRLB would compare estimators of two different quantities. The more important point is that the choice of loss decides which quantity we estimate. If A is meant to be the mean of the data, MSE is the right loss. If it is meant to be the typical value, which the median describes better for skewed data, MAE is the right loss. Choosing MAE because the data has outliers, as the survey suggests [2], also changes what is being estimated when the noise is skewed.

5.3 Summary of the results

The simulations agree with the theory in both cases. Under symmetric noise both estimators are unbiased, and the cost of the wrong loss shows up only as extra variance, a factor of 2 for the mean under Laplace noise and $\pi/2$ for the median under Gaussian noise. Under skewed noise the two losses estimate different quantities, the mean and the median of the data.

6 Heavier tails, the Student-t family

So far we have compared two noise distributions with very different tails, the Gaussian and the Laplace. In this section we look at a whole family of symmetric noises whose tails can be made gradually heavier. This shows how the cost of each loss changes as the noise moves away from Gaussian, and it uses exactly the same tools as Sections 3 and 4.

6.1 The Student-t distribution

The Student-t distribution with $\nu > 0$ degrees of freedom and scale $s > 0$ has density

$$p_w(w) = \frac{\Gamma\left(\frac{\nu+1}{2}\right)}{\sqrt{\nu\pi}\,\Gamma\left(\frac{\nu}{2}\right)\,s}\left(1+\frac{w^2}{\nu s^2}\right)^{-\frac{\nu+1}{2}}. \tag{6.1}$$

It is symmetric about zero, so its mean and median are both zero whenever the mean exists. Its tails fall off like $|w|^{-(\nu+1)}$, which is much slower than the Gaussian $e^{-w^2/2}$. The parameter ν controls

how heavy the tails are. As $\nu \to \infty$ the density tends to the Gaussian $\mathcal{N}(0, s^2)$, and at $\nu = 1$ it is the Cauchy distribution. Figure 6.1 shows the density for three values of ν on a log scale, where the difference in the tails is easy to see.

A useful way to think about the t distribution, given by Lange et al. [4], is as a Gaussian whose variance is itself random. If u is drawn from a χ^2_ν/ν distribution and then $w \mid u \sim \mathcal{N}(0, s^2/u)$, the resulting w has the density (6.1). Most samples come from a Gaussian with variance close to s^2, but now and then u is small and the sample comes from a much wider Gaussian. These occasional wide samples are the heavy tails. The same paper gives the variance,

$$\operatorname{Var}(w) = \frac{\nu}{\nu - 2}\, s^2, \qquad \nu > 2,$$

which is infinite for $\nu \le 2$.

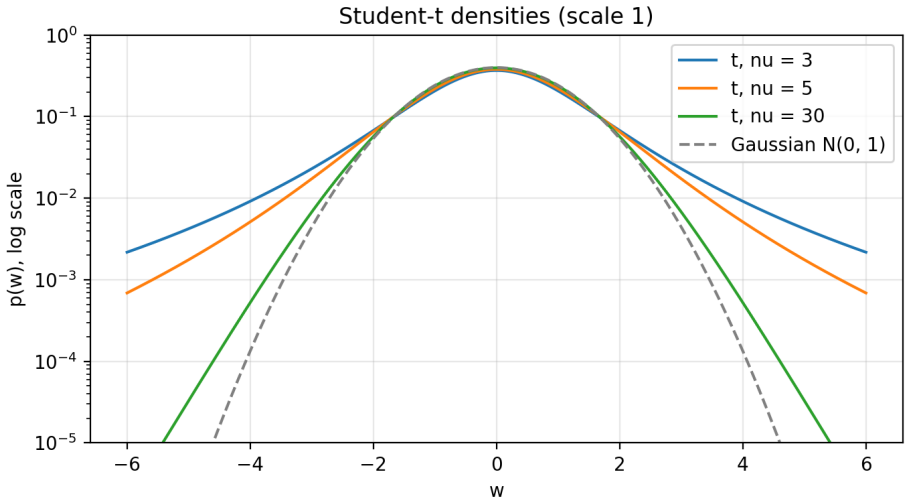


Figure 6.1: Student-t densities with $s = 1$ for $\nu = 3$, 5 and 30, and the standard Gaussian, on a log scale.

6.2 CRLB for Student-t noise

We follow the same steps as in Section 3. Taking the log of (6.1) with $w = x - A$,

$$\ln p_w(x - A) = \text{const} - \frac{\nu + 1}{2} \ln\!\left(1 + \frac{(x - A)^2}{\nu s^2}\right).$$

Differentiating with respect to A gives the score of one sample,

$$\begin{aligned} s(x; A) &= -\frac{\nu + 1}{2} \cdot \frac{1}{1 + \frac{(x-A)^2}{\nu s^2}} \cdot \left(-\frac{2(x - A)}{\nu s^2}\right) \\ &= \frac{(\nu + 1)\, w}{\nu s^2 + w^2}. \end{aligned}$$

Note that the score grows linearly for small w, like the Gaussian score, but goes back to zero for large $|w|$. A sample far out in the tail barely changes the score, which is the first sign that the matched estimator will ignore outliers.

The Fisher information of one sample is $i(A) = E[s(x;A)^2]$. To compute it we substitute $t = w/(\sqrt{\nu}\, s)$, so that $w = \sqrt{\nu}\, s\, t$ and $dw = \sqrt{\nu}\, s\, dt$. The score becomes

$$s(x;A) = \frac{(\nu+1)\, t}{\sqrt{\nu}\, s\, (1+t^2)},$$

and the density becomes $p_w(w)\, dw = c\,(1+t^2)^{-(\nu+1)/2}\, dt$ with $c = 1/B\big(\frac{1}{2}, \frac{\nu}{2}\big)$, where B is the Beta function. Then

$$\begin{aligned} i(A) &= \frac{(\nu+1)^2}{\nu s^2}\, c \int_{-\infty}^{\infty} \frac{t^2}{(1+t^2)^{(\nu+5)/2}}\, dt \\ &= \frac{(\nu+1)^2}{\nu s^2} \cdot \frac{B\big(\frac{3}{2}, \frac{\nu+2}{2}\big)}{B\big(\frac{1}{2}, \frac{\nu}{2}\big)}, \end{aligned}$$

using the standard integral $\int_{-\infty}^{\infty} t^2 (1+t^2)^{-p}\, dt = B\big(\frac{3}{2}, p - \frac{3}{2}\big)$ with $p = (\nu+5)/2$. Writing the Beta functions in terms of Gamma functions and using $\Gamma(z+1) = z\,\Gamma(z)$, the ratio simplifies to

$$\frac{B\big(\frac{3}{2}, \frac{\nu+2}{2}\big)}{B\big(\frac{1}{2}, \frac{\nu}{2}\big)} = \frac{\Gamma(\frac{3}{2})}{\Gamma(\frac{1}{2})} \cdot \frac{\Gamma(\frac{\nu+2}{2})}{\Gamma(\frac{\nu}{2})} \cdot \frac{\Gamma(\frac{\nu+1}{2})}{\Gamma(\frac{\nu+5}{2})} = \frac{1}{2} \cdot \frac{\nu}{2} \cdot \frac{4}{(\nu+3)(\nu+1)} = \frac{\nu}{(\nu+1)(\nu+3)}.$$

We thus obtain

$$i(A) = \frac{\nu+1}{(\nu+3)\, s^2}, \qquad \boxed{\mathrm{CRLB}_t = \frac{\nu+3}{\nu+1} \cdot \frac{s^2}{N}}$$

As $\nu \to \infty$ this tends to s^2/N, the Gaussian CRLB, as it should.

6.3 The mean and the median

The variance of the sample mean follows from (4.1),

$$\mathrm{Var}(\bar{x}) = \frac{\nu}{\nu-2} \cdot \frac{s^2}{N}, \qquad \nu > 2.$$

For the median we use (4.2) with the height of the density at zero,

$$p_w(0) = \frac{\Gamma\big(\frac{\nu+1}{2}\big)}{\sqrt{\nu\pi}\,\Gamma\big(\frac{\nu}{2}\big)\, s}, \qquad \mathrm{Var}(\mathrm{median}) \approx \frac{1}{4N\, p_w(0)^2}.$$

Dividing by the CRLB, the efficiency ratios are

$$\boxed{\frac{\mathrm{Var}(\bar{x})}{\mathrm{CRLB}_t} = \frac{\nu(\nu+1)}{(\nu-2)(\nu+3)}}, \qquad \boxed{\frac{\mathrm{Var}(\mathrm{median})}{\mathrm{CRLB}_t} \approx \frac{\nu+1}{4(\nu+3)\, s^2\, p_w(0)^2}}$$

Both ratios no longer depend on s, since $p_w(0)$ is proportional to $1/s$.

These two formulas behave in opposite ways. As $\nu \to \infty$ the mean's ratio goes to 1 and the median's goes to $\pi/2$, the Gaussian values of Section 4. As ν decreases towards 2, the mean's ratio grows without limit because the variance of the noise blows up, while the median's ratio stays near 1.2. At $\nu = 3$, for example, the mean has ratio exactly 2 and the median has ratio $\pi^2/8 \approx 1.23$. The two curves cross at $\nu \approx 4.68$. For lighter tails than this the mean is the better estimator, and for heavier tails the median is better. This crossing point agrees with the value 4.679 reported in the literature for the relative efficiency of the median and the mean under t noise.

6.4 The matched estimator

The estimator that reaches the CRLB is the MLE for t noise. Setting the total score to zero,

$$\sum_{n=0}^{N-1} \frac{(\nu+1)(x[n]-A)}{\nu s^2 + (x[n]-A)^2} = 0.$$

If we define the weight of each sample as

$$w_n = \frac{\nu+1}{\nu + r_n^2}, \qquad r_n = \frac{x[n]-A}{s},$$

then each term of the sum equals $w_n(x[n]-A)/s^2$, and the equation becomes $\sum_n w_n(x[n]-A) = 0$. Solving for A,

$$\hat{A} = \frac{\sum_n w_n\, x[n]}{\sum_n w_n}.$$

This is a weighted mean, and the weights are exactly those of Lange et al. [4, eq. (3)]. The weights depend on $\hat{A}$ itself, so we compute $\hat{A}$ by starting from the median and repeating the weighted mean until it stops changing. A sample far from A has a large r_n and so a small weight. The t-MLE therefore behaves like the mean for samples near the centre and ignores samples far in the tails, which is why it can beat both the mean and the median.

6.5 Simulation results

The code is in `sim/sim_C_Student_t.py`. We use $A = 1$, $s = 1$ and 5000 trials, and compute the mean, the median and the t-MLE in each trial. Table 4 shows the measured efficiency ratios at $N = 100$ next to the predicted ones, and Figure 6.2 shows the predicted curves against ν with the simulated points.

	Mean (MSE)		Median (MAE)		t-MLE	
ν	Predicted	Measured	Predicted	Measured	Predicted	Measured
3	2.000	2.091	1.234	1.241	1	1.017
4	1.429	1.374	1.270	1.246	1	0.974
5	1.250	1.258	1.301	1.285	1	1.018
7	1.120	1.124	1.349	1.356	1	1.022
10	1.058	1.050	1.397	1.374	1	0.999
20	1.014	1.042	1.470	1.443	1	1.023
50	1.002	0.961	1.527	1.458	1	0.959

Table 4: Predicted and measured $\mathrm{Var}(\hat{A})/\mathrm{CRLB}_t$ under Student-t noise, $N = 100$, 5000 trials.

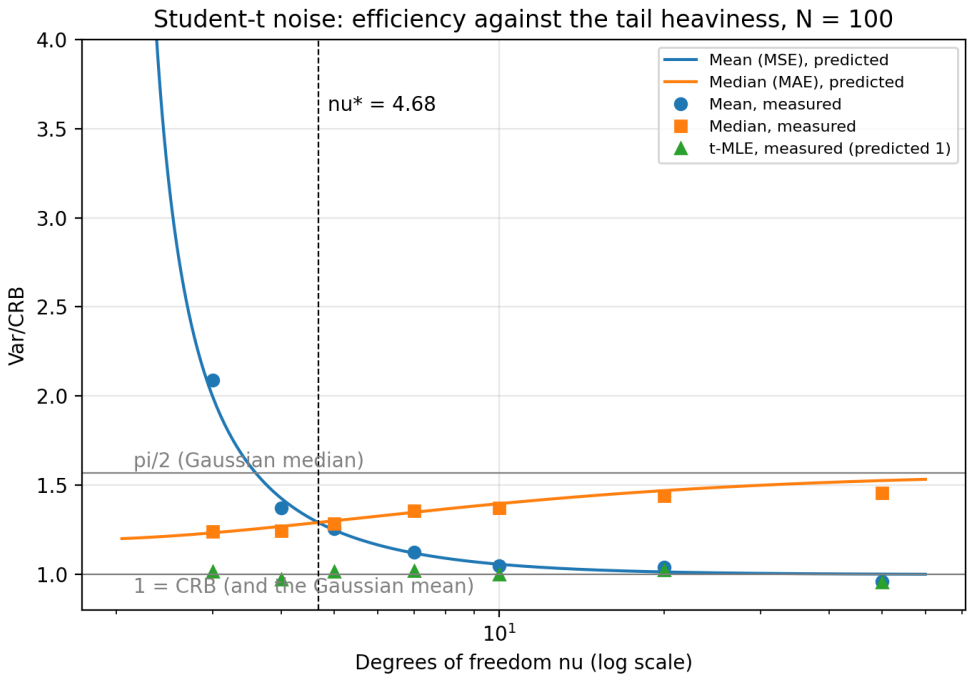


Figure 6.2: Efficiency ratio against ν under Student-t noise at $N = 100$. Lines are the predicted values and markers are the simulation. The dashed line marks $\nu \approx 4.68$, where the mean and the median are equally efficient.

All measured values agree with the predictions. The t-MLE stays at the CRLB for every ν, the mean follows the steep curve that crosses the median near $\nu = 4.68$, and the median rises slowly towards $\pi/2$. Two points need a comment. For the mean at $\nu = 3$ we measured 2.09 instead of 2. For $\nu \leq 4$ the noise has an infinite fourth moment, so the sample variance of 5000 means is itself a very noisy quantity, much noisier than the 2% we used as a rule of thumb in Section 5. At $\nu = 50$ the mean and the t-MLE are both about 4% below 1. This is ordinary Monte Carlo noise, since for large ν the two estimators are almost the same and their errors are strongly correlated.

Figure 6.3 repeats the experiment for N from 10 to 1000 at $\nu = 3$, 5 and 10. As in Section 5.1, the mean's ratio is the same at every N, because $\mathrm{Var}(\bar{x}) = \mathrm{Var}(w)/N$ holds exactly. The median's ratio is a little lower at $N = 10$ and settles on its predicted value by N of a few hundred.

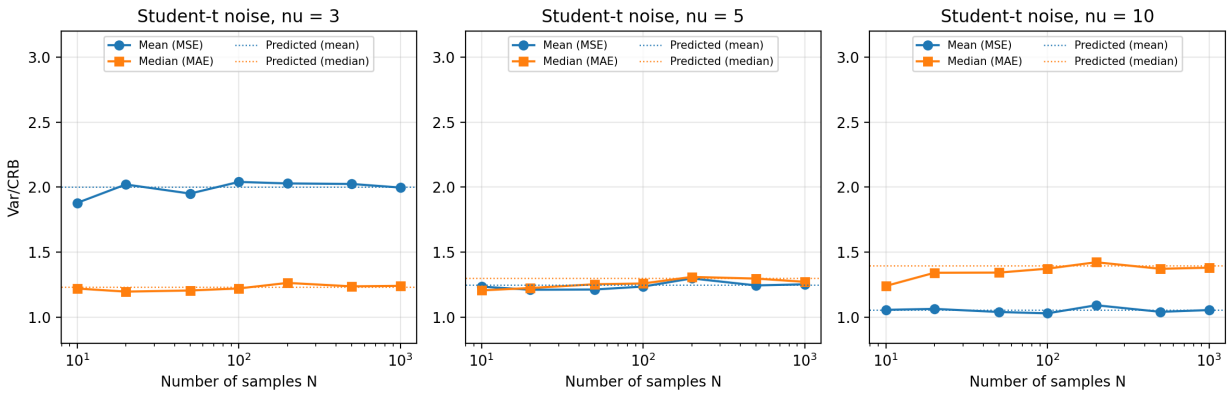


Figure 6.3: Efficiency ratio against N for $\nu = 3$, 5 and 10. Dotted lines are the predicted values.

The Student-t family therefore shows the whole picture in one place. The loss that matches the noise reaches the CRLB, squared error loses more and more as the tails get heavier, and absolute error loses a roughly constant amount. Neither of the two common losses is best everywhere.

6.6 Infinite variance, $\nu \leq 2$

For $\nu \leq 2$ the noise has infinite variance, so the sample mean has infinite variance too and the ratio $\mathrm{Var}(\hat{A})/\mathrm{CRLB}$ cannot be used. The CRLB itself still exists, since the Fisher information $(\nu+1)/((\nu+3)s^2)$ is finite for every $\nu > 0$. To compare the estimators we use instead the interquartile range (IQR) of the estimates, the width of the middle half of their distribution, which exists for any distribution.

The median. From (4.2), the median is still approximately Gaussian, with standard deviation $1/(2\,p_w(0)\sqrt{N})$. The IQR of a Gaussian is 2×0.6745 times its standard deviation, so

$$\mathrm{IQR}(\text{median}) \approx \frac{0.6745}{p_w(0)\sqrt{N}}.$$

The mean at $\nu = 1$. This is the Cauchy distribution, $p_w(w) = \frac{1}{\pi s}\frac{1}{1+(w/s)^2}$, which has no mean and no variance. Its characteristic function is $\phi_w(t) = E[e^{jtw}] = e^{-s|t|}$. The average of N independent noise samples, $\bar{w} = \frac{1}{N}\sum_n w[n]$, therefore has characteristic function

$$\phi_{\bar{w}}(t) = \left(\phi_w\left(\frac{t}{N}\right)\right)^N = \left(e^{-s|t|/N}\right)^N = e^{-s|t|} = \phi_w(t).$$

So the average of N Cauchy samples has exactly the same distribution as a single sample, and the sample mean $\bar{x} = A + \bar{w}$ is no better than one sample $x[0]$, however large N is. The standard Cauchy distribution has quartiles at $\pm s$, so the IQR of the mean is $2s$ for every N.

Results. Figure 6.4 shows the IQR of both estimators against N for $\nu = 1$ and $\nu = 2$. For $\nu = 1$ the IQR of the mean stays at 2 for every N, between 1.92 and 2.09 in the simulation, exactly as the characteristic function argument predicts, while the IQR of the median shrinks like $1/\sqrt{N}$ along its predicted line. For $\nu = 2$ the mean exists and the IQR of the sample mean does shrink, but more slowly than $1/\sqrt{N}$, because the variance is still infinite. The median is again on its predicted line.

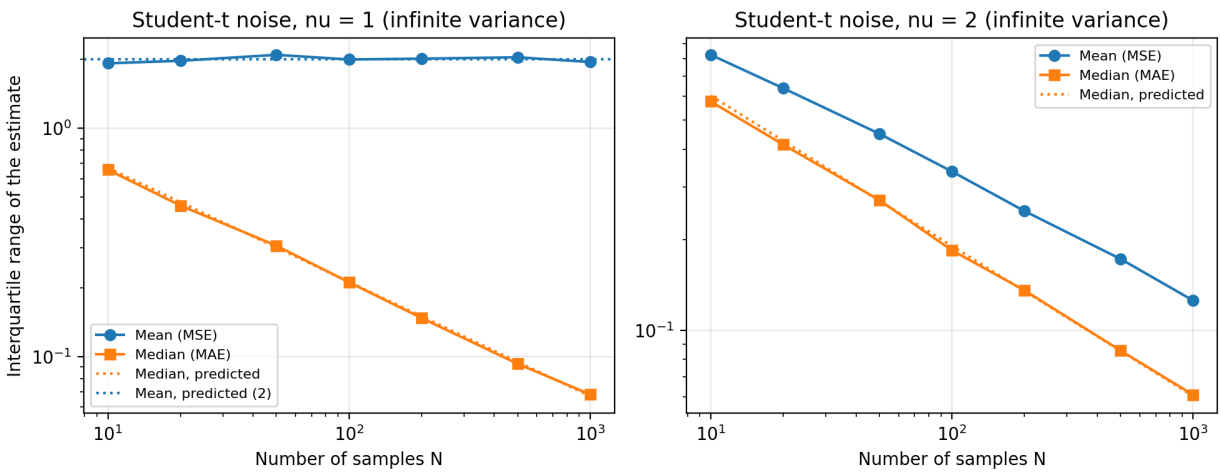


Figure 6.4: Interquartile range of the mean and the median against N for $\nu = 1$ (Cauchy) and $\nu = 2$, on log-log axes. Dotted lines are the predictions.

Figure 6.5 shows what this means for a single data set. It follows one long run of 10000 Cauchy samples and plots the mean and the median of the first n samples. The median settles on $A = 1$ within a few hundred samples. The mean wanders, and at $n = 2237$ a single sample of about -39000 drags it down to -16.6. Even after 10000 samples the mean is still at -4.5, while the median is at 0.994. This is the case where squared error fails completely, while absolute error still works.

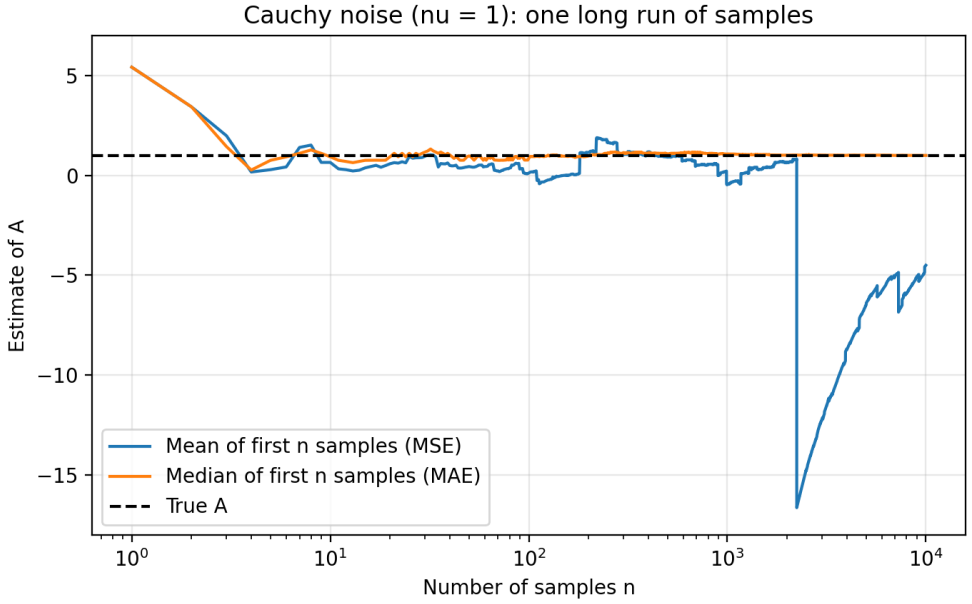


Figure 6.5: Mean and median of the first n samples, for one run of Cauchy noise ($\nu = 1$) with $A = 1$.

7 Skewness, the gamma family

The Student-t family changed the tails of the noise while keeping it symmetric. In this section we change the skewness instead. The gamma family runs from the exponential noise of Section 5.2 to noise that is almost Gaussian, so it connects the skewed case to the symmetric one.

7.1 The gamma distribution

A gamma random variable Y with shape $k > 0$ and scale $\theta > 0$ has density

$$p_Y(y) = \frac{y^{k-1}\, e^{-y/\theta}}{\Gamma(k)\, \theta^k}, \qquad y > 0,$$

with mean $k\theta$, variance $k\theta^2$ and skewness $2/\sqrt{k}$. For $k = 1$ it is the exponential distribution. As k grows the skewness goes to zero and, by the central limit theorem (a gamma variable with integer k is a sum of k exponentials), the distribution approaches a Gaussian. To use it as noise we shift it to zero mean,

$$w = Y - k\theta, \qquad \mathrm{Var}(w) = k\theta^2.$$

Figure 7.1 shows the shape of this noise for several values of k, each scaled to unit variance so that only the shape changes. The noise always has a hard left edge at $w = -k\theta$ and a long right tail, and both effects fade as k grows.

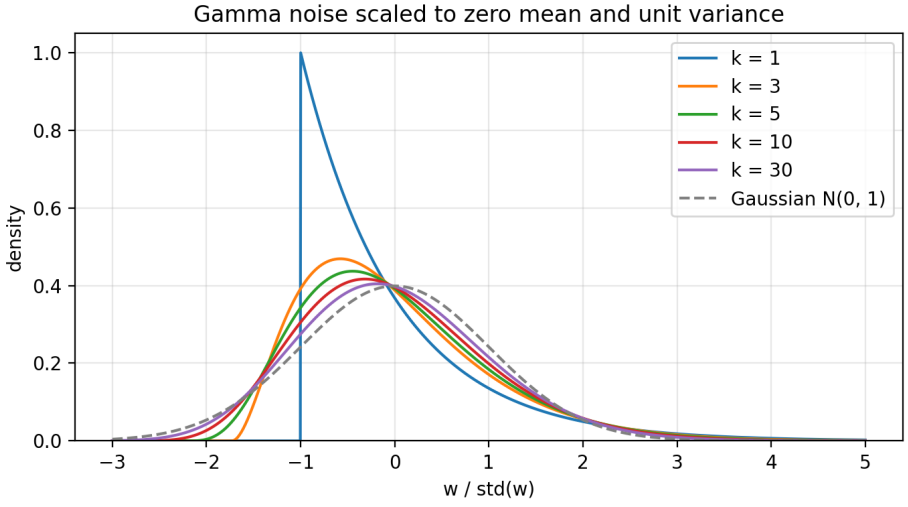


Figure 7.1: Gamma noise for $k = 1, 3, 5, 10, 30$, shifted to zero mean and scaled to unit variance, with the standard Gaussian for comparison.

7.2 CRLB for gamma noise

With $x[n] = A + w[n]$, each sample is $x = c + Y$ with left edge $c = A - k\theta$, so $Y = x - c$. The log-density of one sample is

$$\ln p(x; A) = (k-1)\ln(x - c) - \frac{x - c}{\theta} + \text{const.}$$

Since $c = A - k\theta$, we have $\partial c/\partial A = 1$, and differentiating with respect to A gives the score

$$s(x; A) = -\frac{k-1}{Y} + \frac{1}{\theta}.$$

To find its moments we need the negative moments of the gamma distribution. From the density,

$$E[Y^{-m}] = \frac{\Gamma(k-m)}{\Gamma(k)\,\theta^m}, \qquad k > m,$$

which gives $E[1/Y] = 1/(\theta(k-1))$ for $k > 1$ and $E[1/Y^2] = 1/(\theta^2(k-1)(k-2))$ for $k > 2$. First we check the regularity condition. For $k > 1$,

$$E[s(x; A)] = -(k-1) \cdot \frac{1}{\theta(k-1)} + \frac{1}{\theta} = 0.$$

The Fisher information of one sample is then

$$\begin{aligned} i(A) = E[s(x; A)^2] &= (k-1)^2 E\left[\frac{1}{Y^2}\right] - \frac{2(k-1)}{\theta} E\left[\frac{1}{Y}\right] + \frac{1}{\theta^2} \\ &= \frac{k-1}{\theta^2(k-2)} - \frac{2}{\theta^2} + \frac{1}{\theta^2} \\ &= \frac{1}{\theta^2(k-2)}, \qquad k > 2. \end{aligned}$$

We thus obtain

$$\boxed{\mathrm{CRLB}_\gamma = \frac{(k-2)\,\theta^2}{N}, \qquad k > 2}$$

Here the support of the data, $x > c$, moves with A. Lu et al. [12] show that the CRLB still holds in such a case if the expected squared score is finite and the density is zero at the edge of its support. For $k > 2$ both conditions hold, since the density behaves like Y^{k-1} near the edge and goes to zero there, so the bound above is valid. For $1 < k \le 2$ the density still goes to zero at the edge, but $E[1/Y^2]$ is infinite, so the Fisher information is infinite and the CRLB gives only the useless bound 0. For $k \le 1$ the density does not go to zero at the edge at all, and the CRLB does not apply. Smith [5] studied this non-regular case and showed that estimators based on the smallest samples can then converge faster than $1/N$. We come back to this in Section 9 with Pareto noise, where the edge itself moves with A.

7.3 The mean, the matched estimator and the median

The noise has zero mean, so the sample mean is unbiased, with $\mathrm{Var}(\bar{x}) = k\theta^2/N$. Dividing by the CRLB,

$$\boxed{\frac{\mathrm{Var}(\bar{x})}{\mathrm{CRLB}_\gamma} = \frac{k}{k-2}}, \qquad k > 2.$$

This is 3 at $k = 3$ and 1.25 at $k = 10$, and it goes to 1 as $k \to \infty$, where the noise becomes Gaussian.

The estimator that reaches the CRLB is the MLE for gamma noise. Setting the total score to zero,

$$\sum_{n=0}^{N-1} \frac{1}{x[n] - c} = \frac{N}{\theta(k-1)}.$$

The left side increases with c and goes to infinity as c approaches the smallest sample, so this equation has exactly one solution $\hat{c}$ below $\min_n x[n]$. We find it numerically and set $\hat{A} = \hat{c} + k\theta$.

The median behaves as in Section 5.2. It converges to $A + \text{median}(w)$, where $\text{median}(w) = \text{median}(Y) - k\theta$. The gamma median has no closed form, but it is well approximated by $\theta(k - 1/3)$ [6], so

$$\text{median}(w) \approx -\frac{\theta}{3}.$$

This means the median's bias stays close to $-\theta/3$ for every k, while the spread of the noise, $\sqrt{k}\,\theta$, keeps growing. Measured in units of the noise spread, the bias is about $1/(3\sqrt{k})$, so it fades as the noise becomes less skewed. For $k = 1$ the exact value is $\ln 2 - 1 \approx -0.307$, the shift we found in Section 5.2. The variance of the median is given by (4.2) with the density at the median, $1/(4Nf(m)^2)$.

7.4 Simulation results

The code is in `sim/sim_D_gamma.py`, with $A = 1$, $\theta = 1$, $N = 100$ and 5000 trials. Table 5 shows the efficiency of the mean and of the gamma MLE, and Table 6 shows where the median lands. Figure 7.2 plots the mean's ratio against k.

k	Skewness	Mean, predicted	Mean, measured	Gamma MLE, measured
1	2.000	no CRLB	no CRLB	no CRLB
3	1.155	3.000	3.135	1.218
5	0.894	1.667	1.672	1.025
10	0.632	1.250	1.270	1.029
30	0.365	1.071	1.076	1.008

Table 5: $\text{Var}(\hat{A})/\text{CRLB}_\gamma$ under gamma noise, $N = 100$, 5000 trials. The predicted value for the gamma MLE is 1.

k	Limit $A + \text{median}(w)$	Average median	Predicted std	Measured std
1	0.693	0.698	0.100	0.098
3	0.674	0.686	0.203	0.202
5	0.671	0.678	0.269	0.267
10	0.669	0.660	0.389	0.388
30	0.667	0.677	0.682	0.677

Table 6: Where the sample median lands under gamma noise, with $A = 1$, $N = 100$, 5000 trials.

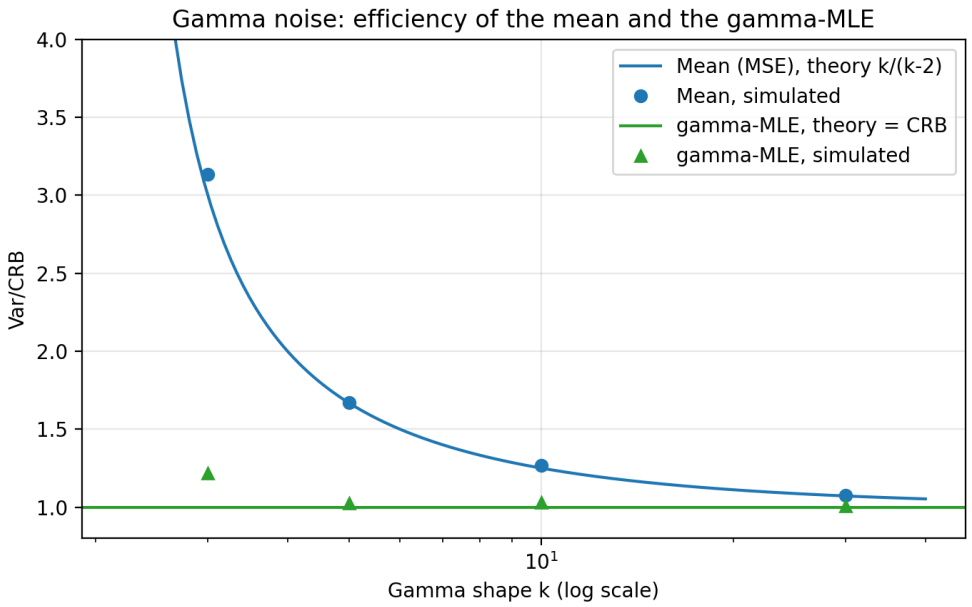


Figure 7.2: Efficiency ratio of the mean and of the gamma MLE against the shape k. The line is $k/(k-2)$ and the markers are the simulation.

The mean follows $k/(k-2)$ closely, and the median lands on its predicted limit with the predicted spread for every k. The $k = 1$ row reproduces the exponential results of Section 5.2. The gamma MLE is close to the CRLB for $k \geq 5$. At $k = 3$ it is at 1.22, which is a finite-sample effect. Close to the non-regular boundary $k = 2$ the MLE needs many samples to reach its asymptotic behaviour, and repeating the experiment at larger N we found the ratio falling to 1.12, 1.09, 1.08 and 1.04 for $N = 100$, 300, 1000 and 3000.

This section leaves one question open. The median does not estimate A, so the CRLB, which is a bound for unbiased estimators of A, says nothing about it. The same is true for the mean under Laplace noise in a weaker sense. It is unbiased, but it can never reach the CRLB because it is built on the wrong noise model. The next section introduces the bound that does apply to such estimators.

8 A tight bound for the wrong model

8.1 Why the CRLB is loose here

The CRLB of Section 3 is a bound for unbiased estimators of A, and it is computed from the true noise distribution. It tells us the best variance that any unbiased estimator could achieve if it knew the true noise. An estimator that is built on a wrong noise model, such as the sample mean under Laplace noise, can never reach this bound, no matter how many samples we use. Its variance stays a fixed factor above the CRLB. When the estimator is not even aiming at A, like the median under skewed noise, the CRLB does not apply to it at all. So for the estimators studied in this report the CRLB is a loose bound.

What we need is a bound for estimators that are derived under an assumed model which may differ from the true one. This is the misspecified Cramér–Rao bound (MCRB). It was first derived by Vuong [8] and later by Richmond and Horowitz [9], and Fortunati et al. [7] give a tutorial

review. We follow the notation of [7], where $p(x)$ is the true density of one sample and $f(x \mid \theta)$ is the assumed model with parameter θ.

8.2 The pseudo-true parameter

If the assumed model is wrong, there may be no value of θ for which $f(x \mid \theta) = p(x)$. The natural target is then the value of θ that makes the assumed model as close as possible to the truth. Measuring closeness by the Kullback–Leibler divergence [7, assumption A1],

$$\theta_0 = \arg\min_\theta D\big(p \,\|\, f(\cdot \mid \theta)\big) = \arg\min_\theta \int p(x) \ln \frac{p(x)}{f(x \mid \theta)}\, dx.$$

The term $\int p \ln p$ does not depend on θ, so this is the same as

$$\theta_0 = \arg\max_\theta E_p\big[\ln f(x \mid \theta)\big],$$

where E_p means the expectation under the true density. The value θ_0 is called the pseudo-true parameter. White [10] and Huber [11] showed that the MLE computed under the wrong model converges to θ_0.

We can now find the pseudo-true value for our two estimators.

Gaussian model, the sample mean. With $f(x \mid A) = \mathcal{N}(A, \sigma^2)$,

$$E_p[\ln f(x \mid A)] = \text{const} - \frac{1}{2\sigma^2} E_p\big[(x - A)^2\big].$$

This is largest where $E_p[(x-A)^2]$ is smallest, which is at $A = E_p[x]$. With $x = A + w$ and $E[w] = 0$, the pseudo-true value is $A_0 = A$. The sample mean aims at the true value for any zero-mean noise, as we found in Section 4.

Laplace model, the sample median. With $f(x \mid A) = \frac{1}{2b} e^{-|x-A|/b}$,

$$E_p[\ln f(x \mid A)] = \text{const} - \frac{1}{b} E_p\big[|x - A|\big].$$

This is largest where $E_p|x - A|$ is smallest, which is at the median of the true distribution of x, by the same argument as in Section 2. So $A_0 = A + \text{median}(w)$. This is exactly the shift we predicted and measured in Section 5.2. The median under skewed noise is not a broken estimator of A. It is an estimator of its own pseudo-true value.

8.3 The misspecified Cramér–Rao bound

Define, at the pseudo-true value, the two quantities [7, eqs. (2), (3)]

$$\mathcal{A} = E_p\left[\frac{\partial^2}{\partial\theta^2} \ln f(x \mid \theta)\right]_{\theta=\theta_0}, \qquad \mathcal{B} = E_p\left[\left(\frac{\partial}{\partial\theta} \ln f(x \mid \theta)\right)^2\right]_{\theta=\theta_0}.$$

Both are computed with the assumed model inside and the true density outside. $\mathcal{A}$ is the average curvature of the assumed log-likelihood, and $\mathcal{B}$ is the variance of the assumed score. An estimator

$\hat{\theta}$ derived under the assumed model is called MS-unbiased if $E_p[\hat{\theta}] = \theta_0$. Theorem 1 of [7], due to Vuong [8], states that every MS-unbiased estimator from N i.i.d. samples satisfies

$$\mathrm{Var}(\hat{\theta}) \geq \mathrm{MCRB} = \frac{1}{N}\,\frac{\mathcal{B}}{\mathcal{A}^2}. \tag{8.1}$$

For a vector parameter the right side is $\frac{1}{N}\mathcal{A}^{-1}\mathcal{B}\mathcal{A}^{-1}$, which is why it is often called the sandwich formula.

Two facts make this bound useful. First, if the assumed model is correct, then θ_0 is the true parameter and $\mathcal{B} = -\mathcal{A}$ is the Fisher information, so (8.1) becomes $1/(N\mathcal{B})$, the ordinary CRLB. The MCRB is a generalisation, not a different theory. Second, Theorem 2 of [7] states that the MLE computed under the assumed model is asymptotically MS-unbiased and its variance tends to the MCRB. So the MCRB is not only a lower bound for the wrong-model estimator, it is the variance that estimator actually has for large N. This is what makes it a tight bound.

8.4 Our earlier formulas are MCRBs

Gaussian model. For $f(x \mid A) = \mathcal{N}(A, \sigma^2)$,

$$\frac{\partial}{\partial A}\ln f = \frac{x - A}{\sigma^2}, \qquad \frac{\partial^2}{\partial A^2}\ln f = -\frac{1}{\sigma^2}.$$

At $A_0 = A$ we have $x - A_0 = w$, so

$$\mathcal{A} = -\frac{1}{\sigma^2}, \qquad \mathcal{B} = \frac{E[w^2]}{\sigma^4} = \frac{\mathrm{Var}(w)}{\sigma^4}, \qquad \boxed{\mathrm{MCRB}_{\mathrm{mean}} = \frac{1}{N}\cdot\frac{\mathrm{Var}(w)/\sigma^4}{1/\sigma^4} = \frac{\mathrm{Var}(w)}{N}}$$

This is (4.1). Note that the assumed variance σ^2 cancels, so a wrong guess of the noise variance in the Gaussian model has no effect on how well the mean estimates A.

Laplace model. For $f(x \mid A) = \frac{1}{2b}e^{-|x-A|/b}$ the score is $\mathrm{sign}(x - A)/b$, so $\mathcal{B} = 1/b^2$. The second derivative does not exist at $x = A$, so we use the form of $\mathcal{A}$ that Huber [11] used for such estimators, the derivative of the expected score. With F the true distribution function of x,

$$E_p\left[\frac{\mathrm{sign}(x - A)}{b}\right] = \frac{1 - 2F(A)}{b}, \qquad \mathcal{A} = \frac{d}{dA}\,\frac{1 - 2F(A)}{b}\bigg|_{A_0} = -\frac{2f(m)}{b},$$

where $f(m)$ is the true density at the median. This agrees with the definition in [7] whenever the derivative and the expectation can be swapped. Then

$$\boxed{\mathrm{MCRB}_{\mathrm{median}} = \frac{1}{N}\cdot\frac{1/b^2}{4f(m)^2/b^2} = \frac{1}{4Nf(m)^2}}$$

which is (4.2), again with the assumed scale b cancelling.

So every variance formula used in Sections 4 to 7 is an MCRB, and the efficiency ratios we have been computing are

$$\frac{\mathrm{Var}(\hat{A})}{\mathrm{CRLB}} = \frac{\mathrm{MCRB}}{\mathrm{CRLB}},$$

the price of the wrong model measured against the best possible estimator.

When the pseudo-true value is not A. If θ_0 differs from the true value, the mean square error about the true value has an extra bias term [7, Section 3.4],

$$\mathrm{MSE} = E_p\big[(\hat{\theta} - \theta_{\mathrm{true}})^2\big] \approx \mathrm{MCRB} + (\theta_0 - \theta_{\mathrm{true}})^2.$$

For the median under skewed noise the bias is median(w). The MCRB shrinks like $1/N$ but the bias does not, so for large N the bias dominates.

8.5 A mistake in the variance

The MCRB also answers what happens when we estimate the noise variance itself with a wrong model. We look at two kinds of mistake.

A wrong mean. This is the example worked out in [7, Section 4.2]. The data are $\mathcal{N}(\mu, \sigma^2)$, but the variance is estimated assuming the mean is zero, with the model $f(x \mid \theta) = \mathcal{N}(0, \theta)$. The MLE under this model is $\hat{\theta} = \frac{1}{N}\sum_n x[n]^2$. The pseudo-true value is $\theta_0 = E[x^2] = \sigma^2 + \mu^2$, and the bound is

$$\mathrm{MCRB} = \frac{2\sigma^4 + 4\mu^2\sigma^2}{N}, \qquad \mathrm{CRLB} = \frac{2\sigma^4}{N}.$$

We reproduce this example in simulation as a check of our code.

A wrong noise shape. Now the noise has zero mean and we again assume the model $\mathcal{N}(0, \theta)$, but the true noise is not Gaussian. For this model

$$\ln f(x \mid \theta) = -\tfrac{1}{2}\ln(2\pi\theta) - \frac{x^2}{2\theta}, \qquad \frac{\partial}{\partial\theta}\ln f = \frac{x^2 - \theta}{2\theta^2}, \qquad \frac{\partial^2}{\partial\theta^2}\ln f = \frac{1}{2\theta^2} - \frac{x^2}{\theta^3}.$$

Setting the expected score to zero gives the pseudo-true value $\theta_0 = E[x^2] = \sigma^2$, the true variance, so the estimator aims at the right value. At $\theta_0 = \sigma^2$,

$$\mathcal{A} = \frac{1}{2\sigma^4} - \frac{\sigma^2}{\sigma^6} = -\frac{1}{2\sigma^4}, \qquad \mathcal{B} = \frac{E[(x^2 - \sigma^2)^2]}{4\sigma^8} = \frac{\mu_4 - \sigma^4}{4\sigma^8},$$

where $\mu_4 = E[w^4]$ is the fourth moment of the noise. Then

$$\boxed{\mathrm{MCRB}_{\sigma^2} = \frac{\mu_4 - \sigma^4}{N}}$$

There are now three different numbers one could call a bound.

1. The CRLB computed from the assumed Gaussian model, $2\sigma^4/N$. This is what one would write down if one trusted the Gaussian assumption.

2. The CRLB computed from the true noise model. This is the best any unbiased estimator of σ^2 could do if it knew the true noise.

3. The MCRB, the variance that the Gaussian-model estimator actually has.

For Laplace noise with scale b we have $\sigma^2 = 2b^2$ and $\mu_4 = 24b^4$, so MCRB $= 20b^4/N$, while the Gaussian-model CRLB is $2(2b^2)^2/N = 8b^4/N$. For the true CRLB we use the Laplace model with

parameter b, whose Fisher information per sample is $1/b^2$, and the transformation rule for the CRLB [1]. Since $\sigma^2 = 2b^2$ and $d\sigma^2/db = 4b$,

$$\mathrm{CRLB}_{\sigma^2} = \frac{(4b)^2}{N \cdot 1/b^2} = \frac{16b^4}{N}.$$

For Student-t noise with $\nu > 4$, using $\mu_4 = 3\nu^2 s^4/((\nu-2)(\nu-4))$ and the Fisher information of the scale, $2\nu/((\nu+3)s^2)$, the same steps give

$$\mathrm{MCRB} = \frac{2\nu^2(\nu-1)}{(\nu-2)^2(\nu-4)} \cdot \frac{s^4}{N},$$

$$\mathrm{CRLB} = \frac{2\nu(\nu+3)}{(\nu-2)^2} \cdot \frac{s^4}{N},$$

$$\text{Gaussian-model CRLB} = \frac{2\nu^2}{(\nu-2)^2} \cdot \frac{s^4}{N}.$$

The ordering is the important part. For Laplace noise the Gaussian-model CRLB, $8b^4/N$, is below the true CRLB, $16b^4/N$. So the bound one gets by trusting the wrong model is not a valid bound at all, since no unbiased estimator can go below $16b^4/N$. The true CRLB is valid but loose for our estimator, which actually has variance $20b^4/N$, the MCRB. The ratio MCRB/CRLB = 1.25 is the price of assuming Gaussian noise when estimating the variance of Laplace noise. Dividing the MCRB by the Gaussian-model CRLB gives $(\mu_4/\sigma^4 - 1)/2$, which depends only on the kurtosis of the noise. It equals 1 for Gaussian noise, where the kurtosis is 3, and 2.5 for Laplace noise, where the kurtosis is 6.

8.6 Simulation results

The code is in `sim/sim_E_mcrb.py`, with $N = 100$ and 20000 trials for the variance examples. Table 7 reproduces the example of [7, Section 4.2].

μ	θ_0	Average $\hat{\theta}$	N·CRLB	N·MCRB	N·Var, measured	N·MSE, measured	N·(MCRB + bias^2)
0	1.00	0.999	2	2	1.984	1.984	2.00
0.5	1.25	1.249	2	3	2.984	9.186	9.25
1	2.00	2.000	2	6	6.102	106.106	106.00

Table 7: The variance example of Fortunati et al. [7, Section 4.2], with $\sigma = 1$, $N = 100$, 20000 trials. The MSE is measured about the true variance $\sigma^2 = 1$.

The estimate lands on the pseudo-true value $\sigma^2 + \mu^2$, its variance matches the MCRB, and its mean square error about the true variance matches MCRB + μ^4, as stated in [7].

Table 8 shows the case of a wrong noise shape.

True noise	True σ^2	Average $\hat{\theta}$	Gaussian-model CRLB	True CRLB	MCRB	Measured
Laplace, $b = 1$	2.000	2.002	8.000	16.000	20.000	20.038
Student-t, $\nu = 10$	1.250	1.248	3.125	4.062	4.688	4.595
Student-t, $\nu = 20$	1.111	1.113	2.469	2.840	2.932	2.938
Gaussian	1.000	0.999	2.000	2.000	2.000	1.998

Table 8: Estimating the noise variance with a Gaussian model. All bounds and the measured variance are multiplied by $N = 100$. 20000 trials.

In every row the estimator is unbiased for the true variance and its measured variance is on the MCRB, above the true CRLB and well above the Gaussian-model CRLB. The Student-t row with $\nu = 10$ is 2% below its MCRB, because for heavy tails the sample variance of 20000 estimates is itself noisy. In the Gaussian row there is no mismatch and all three bounds coincide.

Finally, Table 9 puts every location case of this report side by side.

Noise	Estimator	Pseudo-true	Average	N·CRLB	N·MCRB	N·Var, measured
Gaussian	Mean	1.000	1.000	1.000	1.000	0.982
Gaussian	Median	1.000	1.000	1.000	1.571	1.529
Laplace	Mean	1.000	1.001	1.000	2.000	1.995
Laplace	Median	1.000	1.000	1.000	1.000	1.201
Student-t, $\nu = 5$	Mean	1.000	0.997	1.333	1.667	1.631
Student-t, $\nu = 5$	Median	1.000	0.998	1.333	1.735	1.698
Gamma, $k = 5$	Mean	1.000	1.001	3.000	5.000	4.997
Gamma, $k = 5$	Median	0.671	0.675	3.000	7.249	7.178
Exponential	Mean	1.000	1.001	none	1.000	1.002
Exponential	Median	0.693	0.699	none	1.000	0.963

Table 9: Location estimation with $A = 1$, $N = 100$, 5000 trials. The mean is the MLE of a Gaussian model and the median is the MLE of a Laplace model. For gamma and exponential noise the median's MCRB is a variance about its pseudo-true value, not about A.

Each estimator lands on its pseudo-true value and its variance matches its MCRB, whatever the true noise is. The one visible gap is the median under Laplace noise, 1.20 instead of 1. This is the small-sample effect of Section 5.1, since the MCRB, like the CRLB, is reached only as N grows. Wherever a CRLB exists, it lies below the MCRB, and the distance between them is the cost of using a loss that does not match the noise.

8.7 Summary

The CRLB tells us what is possible with the right noise model. The MCRB tells us what we actually get with the model we assumed, and the estimator built on that model reaches it. Their ratio is the price of the wrong assumption, which is exactly the efficiency ratio of the earlier sections. The pseudo-true value explains where a wrong-model estimator ends up, including the median's shift under skewed noise. For variance estimation, trusting the Gaussian model gives a number that is not even a valid bound when the noise has heavy tails, while the MCRB gives the correct variance.

9 When the bound breaks, Pareto noise

Both the CRLB and the MCRB need regularity conditions. In this section we look at a noise for which these conditions fail, and we see an estimator whose variance falls much faster than any CRLB would allow. We also give a bound that still holds in this case.

9.1 The Pareto distribution

A Pareto random variable P with shape $\alpha > 0$ and minimum value 1 has density

$$p_P(p) = \frac{\alpha}{p^{\alpha+1}}, \qquad p \geq 1.$$

Its tail falls off like a power of p, so it is heavy-tailed, and the moment $E[P^r]$ is finite only for $r < \alpha$. In particular

$$E[P] = \frac{\alpha}{\alpha - 1} \ (\alpha > 1), \qquad \mathrm{Var}(P) = \frac{\alpha}{(\alpha-1)^2(\alpha-2)} \ (\alpha > 2), \qquad \mathrm{median}(P) = 2^{1/\alpha}.$$

Pareto models are used in signal processing for heavy-tailed radar sea clutter [13]. As before we shift it to zero mean, $w = P - \alpha/(\alpha - 1)$, which needs $\alpha > 1$. Figure 9.1 shows the noise for three values of α. Unlike every noise so far, the density does not start at zero. It jumps from 0 to α at the left edge $w = 1 - \alpha/(\alpha - 1) = -1/(\alpha - 1)$.

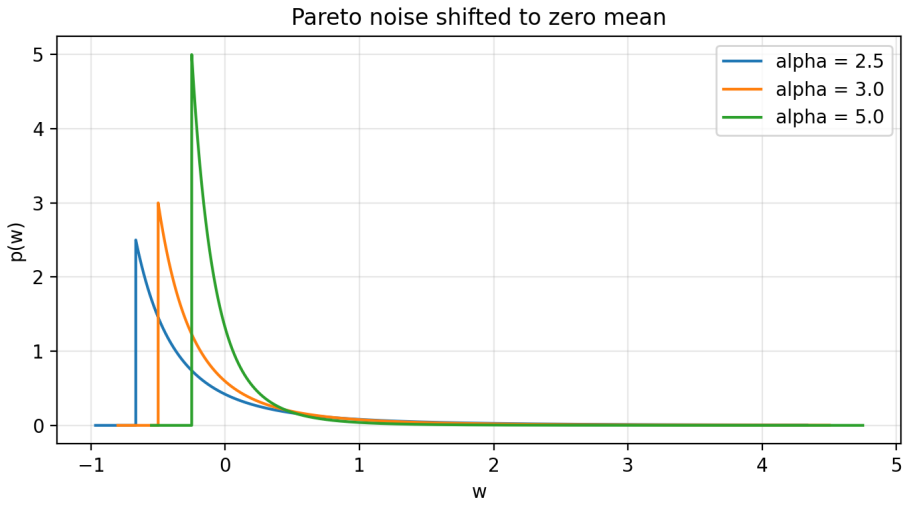


Figure 9.1: Pareto noise shifted to zero mean, for $\alpha = 2.5$, 3 and 5. The density jumps from 0 to α at the left edge.

9.2 Why the CRLB does not apply

The data $x[n] = A + w[n]$ live on $x \geq A - 1/(\alpha - 1)$, so the left edge of the support moves with A. Writing $u = x - A + \alpha/(\alpha - 1)$ for the value of P, the log-density of one sample is $\ln \alpha - (\alpha + 1) \ln u$, and the score is

$$s(x; A) = \frac{\partial}{\partial A} \ln p(x; A) = \frac{\alpha + 1}{u}.$$

The first regularity condition of the CRLB is that the score has zero mean. Here

$$E[s(x; A)] = (\alpha + 1)\, E\left[\frac{1}{P}\right] = (\alpha + 1) \cdot \frac{\alpha}{\alpha + 1} = \alpha \neq 0,$$

so the condition fails. The reason is the edge. When the support depends on A, differentiating $\int p(x; A)\, dx = 1$ with respect to A gives an extra boundary term, equal to the height of the density at the edge, and this term is only zero when the density is zero there [12]. For Pareto noise the density at the edge is α.

If we ignore this and compute the CRLB formula anyway, using $E[1/P^2] = \alpha/(\alpha + 2)$, we get

$$\text{naive CRLB} = \frac{1}{N\,(\alpha + 1)^2\, \alpha/(\alpha + 2)} = \frac{\alpha + 2}{N\,\alpha(\alpha + 1)^2}.$$

We will see that an estimator beats this number by a large factor, which shows it is not a valid bound.

9.3 Three estimators

The mean. The noise has zero mean, so the sample mean is unbiased, with

$$\mathrm{Var}(\bar{x}) = \frac{\alpha}{(\alpha-1)^2(\alpha-2)\,N}, \qquad \alpha > 2.$$

For $\alpha \le 2$ the noise has infinite variance and so does the mean.

The median. As in Section 8, the median goes to its pseudo-true value $A + \mathrm{median}(w) = A + 2^{1/\alpha} - \alpha/(\alpha-1)$. The density of P at its median is $\alpha\, 2^{-(\alpha+1)/\alpha}$, so from (4.2)

$$\mathrm{Var}(\text{median}) \approx \frac{2^{2(\alpha+1)/\alpha}}{4N\alpha^2} = \frac{2^{2/\alpha}}{N\alpha^2}.$$

The minimum. The edge carries a lot of information. The smallest sample is always just above the edge, and the edge is at a known distance below A. The distribution of the minimum of N Pareto samples follows from

$$P\Big(\min_n P_n > t\Big) = \prod_n P(P_n > t) = \big(t^{-\alpha}\big)^N = t^{-N\alpha},$$

so the minimum is itself Pareto with shape $N\alpha$. Its mean is $N\alpha/(N\alpha-1)$, so an unbiased estimator of A is

$$\hat{A}_{\min} = \min_n x[n] + \frac{\alpha}{\alpha-1} - \frac{N\alpha}{N\alpha-1},$$

with variance

$$\boxed{\mathrm{Var}(\hat{A}_{\min}) = \frac{N\alpha}{(N\alpha-1)^2(N\alpha-2)} \approx \frac{1}{(N\alpha)^2}}$$

This falls like $1/N^2$, while the mean, the median and the naive CRLB all fall like $1/N$. So for large enough N the min-based estimator must go below the naive CRLB. This is possible only because the CRLB does not apply.

9.4 A bound that still holds

The Hammersley–Chapman–Robbins bound [14, 15] needs no regularity conditions. For an unbiased estimator of A it states

$$\mathrm{Var}(\hat{A}) \ge \sup_{h \ne 0} \frac{h^2}{E_A\left[\left(\dfrac{p(\mathbf{x}; A+h)}{p(\mathbf{x}; A)}\right)^2\right] - 1},$$

where the expectation is over the data at the true value A. The idea is to compare the true parameter with a nearby value $A+h$. If the data cannot tell A and $A+h$ apart well, no estimator can be precise. As $h \to 0$, and when the regularity conditions hold, the bound becomes the CRLB.

For Pareto noise the ratio is only finite when $h > 0$, because for $h < 0$ the shifted density is positive where the true one is zero. For N i.i.d. samples the expectation is a product,

$$E_A\left[\left(\frac{p(\mathbf{x}; A+h)}{p(\mathbf{x}; A)}\right)^2\right] = E_1(h)^N, \qquad E_1(h) = \int_{1+h}^{\infty} \frac{\alpha\, u^{\alpha+1}}{(u-h)^{2\alpha+2}}\, du,$$

and we find the supremum over h numerically.

9.5 Simulation results

The code is in `sim/sim_F_pareto.py`, with $A = 1$ and 5000 trials. Table 10 gives the variances at $N = 100$, and Figure 9.2 shows how they change with N for $\alpha = 3$.

	Mean		Median		Min-based		Naive	Chapman–
α	Predicted	Measured	Predicted	Measured	Predicted	Measured	CRLB	Robbins
2.5	2.22×10^{-2}	2.02×10^{-2}	2.79×10^{-3}	2.69×10^{-3}	1.63×10^{-5}	1.57×10^{-5}	1.47×10^{-3}	1.04×10^{-5}
3	7.50×10^{-3}	7.90×10^{-3}	1.76×10^{-3}	1.81×10^{-3}	1.13×10^{-5}	1.16×10^{-5}	1.04×10^{-3}	7.22×10^{-6}
5	1.04×10^{-3}	1.07×10^{-3}	5.28×10^{-4}	5.47×10^{-4}	4.03×10^{-6}	4.17×10^{-6}	3.89×10^{-4}	2.60×10^{-6}

Table 10: Variances under Pareto noise at $N = 100$, 5000 trials. The median's variance is about its own pseudo-true value.

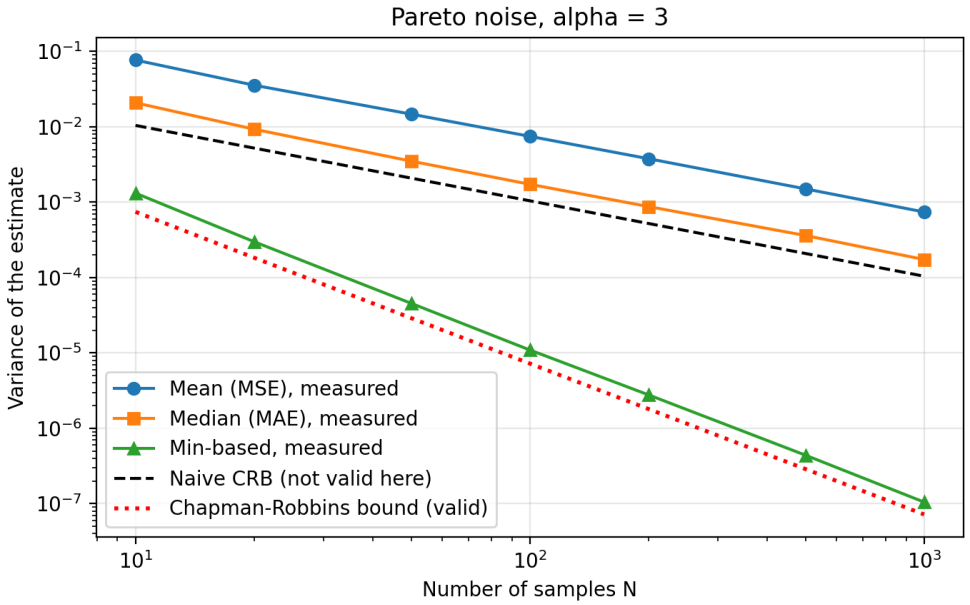


Figure 9.2: Variance of each estimator against N for $\alpha = 3$, with the naive CRLB and the Chapman–Robbins bound, on log-log axes.

All measured variances agree with the predictions. At $N = 100$ and $\alpha = 3$, the min-based estimator has variance 1.16×10^{-5}, almost 100 times smaller than the naive CRLB of 1.04×10^{-3}. On the log-log plot the mean, the median and the naive CRLB fall with slope -1, while the min-based estimator falls with slope -2.04. The Chapman–Robbins bound falls with slope -2.01 and stays just below the min-based estimator at every N, so it is a valid and nearly tight bound here.

This case completes the picture from Section 7. Gamma noise with a small shape and Pareto noise both have a hard edge, and a hard edge is very informative. An estimator that uses the edge, such as the minimum, can be far more precise than any estimator that treats the noise as smooth, and the CRLB, which assumes a smooth problem, no longer describes what is possible. Neither squared nor absolute error uses the edge, so both are far from the best estimator here.

10 Matching the noise in real data

In all the previous sections we chose the noise ourselves. With real data the noise distribution is unknown, and the first task is to find which family describes it. This is the usual workflow in applied statistics [16, 17]. We fit several candidate distributions, compare them, and then use the best description to predict how the mean and the median behave. Here we take the first steps of this on a real dataset. The gamma family is a natural candidate because its shape parameter covers everything from very skewed (small k) to almost Gaussian (large k), as we saw in Section 7.

10.1 The data

We use the French motor third-party liability claims dataset, `freMTPL2sev` [18], which contains the amount of each of 26639 insurance claims. It is a standard benchmark, and the scikit-learn documentation uses it with a gamma model for claim severity [19]. For now we ignore the policy information and treat the claim amounts as samples from one distribution, so the question is the same as in the DC level problem: what is the typical claim, and how well do the mean and the median estimate it?

The data are extremely skewed. The mean claim is 2279 but the median is only 1172, the standard deviation is 29297, and the largest claim is about 4 million. There is also a feature we never had in simulation. About 42% of all claims sit exactly on five fixed amounts, the largest group being 4792 claims of exactly 1204. These are most likely standard settlement amounts. No continuous distribution can describe such spikes, so we expect every fit to be imperfect.

10.2 Fitting candidate distributions

We fit five families by maximum likelihood with `scipy.stats`, fixing the location at zero for the families that live on positive values. The code for this section is in `sim/sim_G_real_data.py`. We compare them with the Akaike information criterion,

$$\mathrm{AIC} = 2p - 2\ln L,$$

where p is the number of fitted parameters and $\ln L$ is the maximised log-likelihood, so a lower AIC means a better fit after paying for extra parameters. We also report the Kolmogorov–Smirnov statistic, the largest gap between the fitted and the empirical distribution functions.

Family	Parameters	Log-likelihood	AIC	KS statistic
Lognormal	2	−223590	447184	0.233
Weibull	2	−227509	455021	0.204
Gamma	2	−231154	462312	0.272
Exponential	1	−232593	465188	0.335
Gaussian	2	−311788	623579	0.469

Table 11: Maximum likelihood fits to the 26639 claim amounts, sorted by AIC.

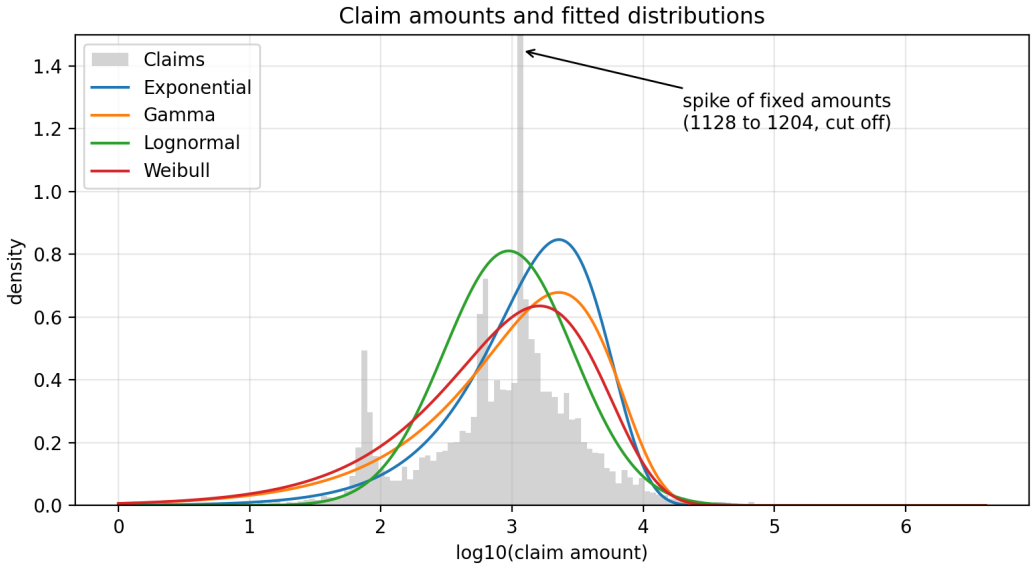


Figure 10.1: Histogram of $\log_{10}$ of the claim amounts with the fitted densities. The spike of fixed amounts near 1200 is cut off at the top.

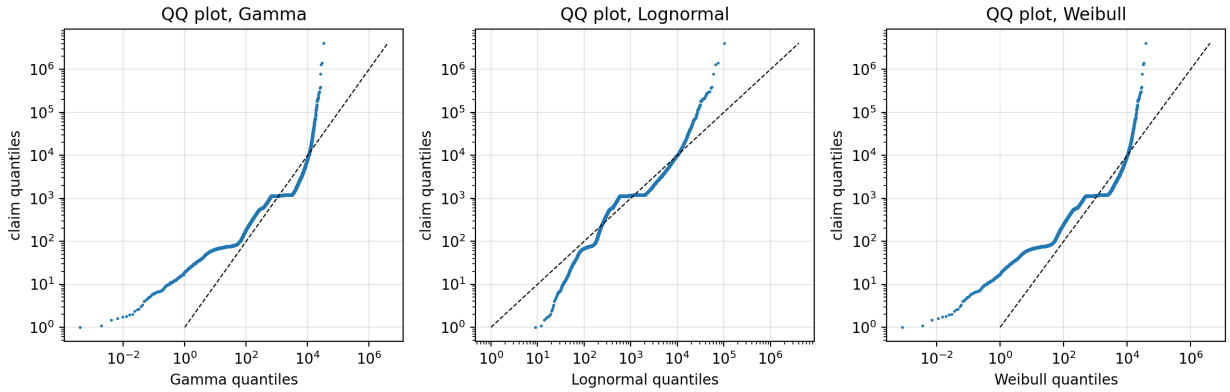


Figure 10.2: QQ plots of the claim amounts against the fitted gamma, lognormal and Weibull distributions, on log scales. A perfect fit would lie on the dashed line.

The Gaussian is by far the worst fit, which is expected for data that are positive and this skewed. The lognormal has the lowest AIC and the Weibull the smallest KS statistic, while the gamma is in between. None of the fits is good, for two reasons that are visible in the figures. The flat steps in the QQ plots are the spikes of fixed amounts. At the top right, the largest claims bend sharply above every fitted line, so the real tail is heavier than even the lognormal. A power-law tail like the Pareto of Section 9 would be a better description of the largest claims.

10.3 What the gamma shape tells us

The fitted gamma shape is $k = 0.687$, with scale $\theta = 3315$. Since $k < 1$, the data are more skewed than the exponential noise of Section 5.2, with skewness $2/\sqrt{k} = 2.41$ for the fitted model. From

Section 7 this tells us two things. First, the mean and the median of such data are far apart, so squared error and absolute error estimate very different values of the typical claim. Indeed the mean is about twice the median. Second, for $k \leq 1$ there is no usable CRLB for a location parameter, so the efficiency ratios of the earlier sections cannot even be defined. The choice between the two losses is here a choice of what to estimate, as in Section 5.2, not a question of efficiency.

10.4 The wrong-model standard error

How precise is the sample mean on these data? There are three ways to answer, and they connect to Section 8.

1. Trust the fitted gamma model. Its variance is $k\theta^2$, so the standard error of the mean would be $\sqrt{k}\,\theta/\sqrt{N}$.

2. Use the sample estimate of the MCRB [7, Section 4.1]. For the mean, the sample versions of $\mathcal{A}$ and $\mathcal{B}$ from Section 8 give the sample variance divided by N. This uses the data directly and makes no assumption about the noise.

3. Use the bootstrap. We resample the claims with replacement 2000 times and take the standard deviation of the resampled means.

Estimate	Value	SE from gamma model	SE from sample MCRB	SE from bootstrap
Mean (MSE)	2278.5	16.8	179.5	177.0
Median (MAE)	1172.0	–	–	0.0

Table 12: The typical claim estimated by the mean and the median, with standard errors.

The sample MCRB and the bootstrap agree, at about 178. The gamma model gives 16.8, which is 10.7 times too small. The fitted gamma has a standard deviation of $\sqrt{k}\,\theta = 2748$, but the data have 29297, because the gamma tail is far too light for the largest claims. This is the same lesson as the variance example of Section 8. A precision computed by trusting the assumed model can be far too optimistic, while the MCRB estimated from the data gives the right answer.

The median shows the effect of the spikes. The sample median is 1172, which is itself one of the fixed amounts with 2072 claims. Resampling never moves the median off this value, so its bootstrap standard error is zero. The formula $1/(4Nf(m)^2)$ of Section 4 assumes a smooth density at the median, and a spike behaves like an infinitely tall density there, which also gives a standard error of zero. On these data the median is extremely stable, but only because of how the claims are recorded.

10.5 Next steps

This is a first look at the data, without the policy features. The next steps are to treat the spikes of fixed amounts separately from the continuous part, as is done with zero-adjusted models in GAMLSS [17], to describe the largest claims with a Pareto tail, and to use the policy features to compare a gamma regression model with least squares and least absolute deviation regression. These steps connect this section to the nonlinear models of the project plan.

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